

**BAKER
HUGHES**

Rpt Date 07/Dec/2006				Well Name/No Bilabri D4				Section Name/No 12-1/4" Section #3				Mud System SYN-TEQ (PARA)							
Job# 1		Spud Date 09/Nov/2006				MD 910.00 m				Progress 93.00 m				Present Activity Drilling Formation					
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon / Chris Newton				Contractor Dolphin Drilling Ltd				Contractor Rep Ally Tough / Troy Nolan							
Field/Lease Bilabri				Blk/Co/Parish OML - 122 / Nigeria				Area Offshore				Country/State Nigeria				Rig BULFORD DOLPHIN			
Drilling Assembly						Casing			Volumes		Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min			
12 1/4		Baker		Baker Hughes			19 1/2	172.50	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	64	321			
Drill Collars			Drill Pipe			36	31 3/4	262.00	604.4	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	64	321			
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	64	321			
7 15/16	2 3/4	9.02	5	4.276	643.76	13 3/8	12.415	800.00	418										
7 13/16	2 13/16	63.93	5	3	158.56		12 1/4	910.00	Tot Active										
8	2 3/4	18.27							1022.4	Circulation Times									
									In Storage	Surface to Bit		1.9 min/360stks		Total System		44.9 min/8626stks			
									861	Bottoms Up		23.9 min/4582stks							
Mud Properties						Max Ann Velocity			Hole Information										
Property		Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure	2440 psi		Water Depth 146.00 m							
Sample From				Reserve	Active Pit		AV Casing	0.00 ft/min	Hole Flow	963 USgal/min		Riser Booster Rate USgal/min							
Check Time				11:30	17:30		AV Open Hole	0.00 ft/min	Solids Analysis										
MD m				817.00	844.00		Vc Open Hole	0.00 ft/min	Property	1	2	3	4						
TVD m				817.00	844.00		Vc Drill Pipe	0.00 ft/min	LGS %	6.26	8.54								
Bit Depth m				779.00	844.00		Min Ann Velocity		LGS lb/bbl	57.06	77.83								
Density ppg		10.00-10.50	10.10	10.10			AV Riser	ft/min	HGS %	4.84	3.69								
Funnel Visc. sec/quart				95.0	78.0		AV Casing	0.00 ft/min	HGS lb/bbl	71.20	54.32								
Flow Line Temp degF				85.0	100.0		AV Open Hole	0.00 ft/min	Avg Dens Sol sg	3.2973	3.0827								
Test Temp degF				120.0	120.0		Bit Information												
Rheol Temp degF				120.0	120.0		Size	12 1/4 in											
PV cP				34	31		Hours On Bit												
YP lbf/100ft^2				22	28		Bit Number												
10sec Gel lbf/100ft^2				12	12		BHA Number	4	Rheology										
10min Gel lbf/100ft^2				18	22		Depth In	m	600 RPM	90	90								
HTHP Filtrate cc				4.0	4.0		Bit RPM		300 RPM	56	59								
HTHP Cake in/32				2.0	2.0		WOB	klbf	200 RPM	48	43								
HTHP Temp degF				250.0	250.0		Nozzles	8x18	100 RPM	31	29								
HTHP Pressure psi				500	500		Bit Hydraulics		6 RPM	12	12								
Retort Water %				31.0	32.0		TFA	1.9880 in^2	3 RPM	11	11								
Retort Base Fluid %				56.0	54.0		Nozzle Vel	61.5 ft/sec											
Retort Solids %				13.0	14.0		Bit Press Loss	0 psi											
Corrected Solids %				11.1	12.2		HHP / Area	0.00 HP/in^2	Hydraulic Analysis										
Oil:Water Ratio				64:36	63:37		HHP	675.0 %	Behavior Index (n)		0.000								
Alk (Whole Mud-POM) cc/cc				1.00	0.86				Consistency Index (k)		0.000 #sec^n/100ft^2								
Cl (Whole Mud-Clom) cc/cc				48000	45000				ECD @ Bit Depth		0.68 ppg								
Ca (Whole Mud-Caom) cc/cc				0	0				ECD @ Casing Shoe		0.61 ppg								
Excess Lime lb/bbl				1.3	1.1		Fluid Comments/ Recommendations												
Brine Density sg				1.17	1.16		Treating active mud system with necessary products and base oil to bring properties in line.												
NaCl % wt				0	0														
CaCl2 % wt				20	18														

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN																				
Solids Control Equipment																													
Name		#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments																		
CENTRIFUGE		1		2.0			5.0		0.0																				
CENTRIFUGE		2		0.0			0.0		0.0																				
DESANDER		1		0.0			0.0		0.0																				
DESILTER		1		0.0			0.0		0.0																				
MUD CLEANER		1		0.0	175, 210		0.0		0.0																				
SHALE SHAKER		1		0.0			0.0		0.0																				
SHALE SHAKER		1		12.0	3 x 175		28.0		0.0																				
SHALE SHAKER		2		0.0			0.0		0.0																				
SHALE SHAKER		2		12.0	3 x 110		28.0		0.0																				
SHALE SHAKER		3		12.0	3 x 175		27.0		0.0																				
SHALE SHAKER		3		0.0			0.0		0.0																				
					Total Volume Lost		88		0																				
Volumes																													
Additions bbl				Losses bbl				Total Volumes bbl																					
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume		1914.7	Riser w/o Pipe	209.1																	
Brine		Water		Cased Off		Trip Losses		Daily Additions		68.2	Casing w/o Pipe	383.2																	
Base Fluid		50	Product	18.2	Left In Hole		Injected		Daily Losses		100	Open Hole w/o Pipe	52.6																
Recycled		Other			Discharged		Spill To Environment		Ending Volume		1882.9	String Displacement	40.4																
					SCE		88	Onshore Disposal	Net Change		-31.8	String Capacity	44.8																
					Evaporation		12	Returned				Total Hole w/ Pipe	604.4																
					Other Losses							Total Active	1022.4																
												Total Reserve	861.0																
IADC Hours																													
Drilling Formation					12	Tripping			2.5	Test BOP			9.5																
Primary Currency USD					Secondary Currency					Totals USD																			
Daily Product Cost					23943.04					Daily Product Cost					0.00					Primary Product					208742.14				
Daily Tax					0.00					Daily Tax					0.00					Secondary Product					0.00				
Debit/Credit					0.00					Debit/Credit					0.00					Primary Engineering					38306.25				
Daily Engineering Cost					1350.00					Daily Engineering Cost					0.00					Secondary Engineering					0.00				
Total Daily Cost					25293.04					Total Daily Cost					0.00					Primary Total					247048.39				
Total Inventory Value					561149.46					Total Inventory Value					0.00					Secondary Total					0.00				
															Deck Load					730294					lb				
Products and Services																													
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl														
Bulk																													
MIL-BAR		1000 kg	145					145		540.00				84.73	103.07														
Oil Based Product																													
CARBO-GEL		25 kg	80					80		264.28																			
MIL-LIME		25 kg	80					40	40	34.25		1370.00		1.88															
OMNI-COTE		55 USgal	4					4	4	2150.00																			
OMNI-MUL		55 USgal	16					4	12	995.06		3980.24		2.98	0.68														
OMNI-PLEX		55 USgal	10						10	1618.95				0.77	0.34														
OMNI-TEC		55 USgal	14					2	12	925.00		1850.00		1.57	0.36														
PARA-TEQ		1 bbl	1315					50	1265	280.00		14000.00																	
Water Based Product																													
CAUSTIC SODA		25 kg	32					32		37.89																			
MIL-GUAR		25 kg	50					50		135.00				0.54	0.66														
SOLUFLAKE		25 kg	80					80		57.24																			
Xanthan Gum		25 kg	40					40		345.22				0.93	1.13														
XCIDE 102		55 USgal	1					1		2508.30				0.01	0.01														
LCM																													
CALCIUM CARBONATE - FINE		25 kg	160																										